



General Assembly

February Session, 2026

Substitute Bill No. 511



***AN ACT ESTABLISHING MUNICIPAL GROWTH DIVIDEND
PAYMENTS.***

Be it enacted by the Senate and House of Representatives in General Assembly convened:

1 Section 1. (NEW) (*Effective October 1, 2026*) (a) As used in this section:

2 (1) "Municipally attributable revenue" or "MAR" means the sum of
3 the portion of revenue, as determined by the Department of Revenue
4 Services, from (A) the tax imposed by chapter 219 of the general statutes
5 that is attributable to sales occurring at a specific physical business
6 location within a municipality, (B) the withholding portion of the tax
7 imposed by chapter 229 of the general statutes that is attributable to
8 wages earned at a physical place of employment located within a
9 municipality, and (C) the tax imposed by chapter 208 of the general
10 statutes that is attributable to business activity occurring within a
11 physical nexus in a municipality;

12 (2) "MAR baseline" means the amount of the municipally attributable
13 revenue of a municipality for the fiscal year ending June 30, 2026; and

14 (3) "Municipality" means any town, city, consolidated town and city
15 or consolidated town and borough.

16 (b) (1) There is established an account to be known as the "state-wide
17 municipal growth account", which shall be a separate, nonlapsing
18 account. The account shall contain any moneys required by law to be

19 deposited in the account. Moneys in the account shall be expended by
20 the Secretary of the Office of Policy and Management for the purpose of
21 distributing municipal growth dividends to municipalities in
22 accordance with subsection (d) of this section.

23 (2) For the fiscal year ending June 30, 2030, and annually thereafter,
24 the aggregate amount of the municipal growth dividend for all
25 municipalities as determined under subsection (c) of this section shall
26 be transferred by the Treasurer to the account. Investment earnings
27 credited to the account shall become part of the assets of the account.

28 (c) The Department of Revenue Services shall determine, not later
29 than November 1, 2028, the MAR baseline for each municipality.
30 Commencing with the fiscal year ending June 30, 2030, and annually
31 thereafter, the department shall determine the municipally attributable
32 revenue for each municipality for the applicable fiscal year and provide
33 all determinations made pursuant to this subsection to the Office of
34 Policy and Management.

35 (d) (1) Commencing with the fiscal year ending June 30, 2031, and
36 annually thereafter, the Secretary of the Office of Policy and
37 Management shall distribute municipal growth dividends to
38 municipalities in the amount of one-half of one per cent of the
39 municipality's MAR for the preceding fiscal year, except that:

40 (A) If a municipality's MAR for a fiscal year is below its MAR
41 baseline, such municipality shall receive no municipal growth dividend
42 distribution for such fiscal year; and

43 (B) For any municipal development project that is intended to
44 support municipal economic growth and for which the state has
45 provided instrumental capital, the municipality shall receive, in lieu of
46 the distribution under this subsection, fifty per cent of the municipal
47 growth dividend attributable to such project and the state shall receive
48 fifty per cent of such growth dividend until the full amount of the state
49 capital expenditure has been recouped.

50 (2) Any distributions received by a municipality pursuant to this
51 section shall be used by the municipality to provide municipal services
52 in accordance with the provisions of subsection (e) of this section or to
53 reduce the municipality's mill rate, or both.

54 (e) Each municipality shall establish a municipal revenue
55 stabilization fund and all distributions received by a municipality
56 pursuant to this section shall be deposited in such fund. For the purpose
57 of providing municipal services, a municipality may use the moneys in
58 such fund as a one-time expenditure or as an ongoing expenditure,
59 provided the legislative body of the municipality certifies that such fund
60 is sufficiently capitalized to sustain such ongoing expenditure for not
61 less than three fiscal years.

62 (f) Not later than November 1, 2030, and annually thereafter, the
63 Secretary of the Office of Policy and Management shall submit, in
64 accordance with the provisions of section 11-4a of the general statutes,
65 to the joint standing committees of the General Assembly having
66 cognizance of matters relating to finance, revenue and bonding and
67 local governments a report that sets forth for each municipality for the
68 applicable fiscal year the municipally attributable revenue and
69 information regarding any municipal growth dividends distributed to
70 the municipality.

71 Sec. 2. Subsection (b) of section 2-35 of the general statutes is repealed
72 and the following is substituted in lieu thereof (*Effective October 1, 2026*):

73 (b) (1) The state budget act passed by the legislature for funding the
74 expenses of operations of the state government in the ensuing biennium
75 shall contain a statement of estimated revenue, based upon the most
76 recent consensus revenue estimate or the revised consensus revenue
77 estimate issued pursuant to section 2-36c, itemized by major source, for
78 each appropriated fund, and supplied by the joint standing committee
79 of the General Assembly having cognizance of matters relating to state
80 finance, revenue and bonding.

81 (2) Commencing in the fiscal year ending June 30, 2018:

82 (A) Such itemization shall include the estimate for each major
83 component of the personal income tax imposed pursuant to chapter 229
84 as follows: Withholding payments and estimated and final payments;
85 and

86 (B) Commencing with the consensus revenue estimate or revised
87 consensus revenue estimate maintained or revised not later than
88 November 10, 2017, each consensus revenue estimate or revised
89 consensus revenue estimate shall include a line item designated as the
90 volatility adjustment that reflects the amount of the estimated transfer
91 pursuant to subsection (a) of section 4-30a.

92 (3) Commencing in the fiscal year ending June 30, 2030, each
93 consensus revenue estimate or revised consensus revenue estimate shall
94 include a line item designated as the municipal growth dividend that
95 reflects the amount of the estimated transfer pursuant to subdivision (2)
96 of subsection (b) of section 1 of this act.

97 ~~[(2)]~~ (4) The statement of estimated revenue applicable to each such
98 fund shall include, for any fiscal year, an estimate of total revenue with
99 respect to such fund, which amount shall be reduced by (A) an estimate
100 of total refunds of taxes to be paid from such revenue in accordance with
101 the authorization in section 12-39f, and (B) an estimate of total refunds
102 of payments to be paid from such revenue in accordance with the
103 provisions of sections 3-70a and 4-37.

104 ~~[(3)]~~ (5) The total estimated revenue for each fund, as adjusted in
105 accordance with this section, shall not be less than the total net
106 appropriations made from each fund plus, for the fiscal year ending
107 June 30, 2014, and each fiscal year thereafter, the amount necessary to
108 extinguish any unassigned negative balance in each budgeted fund as
109 addressed in the most recently issued annual report of the Comptroller
110 published in accordance with section 3-115. On or before July first of
111 each fiscal year, the joint standing committee of the General Assembly
112 having cognizance of matters relating to state finance, revenue and
113 bonding shall, if any revisions in such estimates are required by virtue

114 of legislative amendments to the revenue measures proposed by said
115 committee, changes in conditions or receipt of new information since
116 the original estimate was supplied, meet and revise such estimates and,
117 through its cochairpersons, report to the Comptroller any such
118 revisions.

This act shall take effect as follows and shall amend the following sections:		
Section 1	<i>October 1, 2026</i>	New section
Sec. 2	<i>October 1, 2026</i>	2-35(b)

Statement of Legislative Commissioners:

In Section 1(f), ", the adjusted baseline" was deleted for consistency.

FIN *Joint Favorable Subst. -LCO*